

Chapter 6 - International Parity Conditions

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1 Introduction

1.1 Prices and Exchange Rates

1.1.1 Law of One Price

1.1.2 Purchasing Power Parity

1.2 Interest Rates and Exchange Rates

1.2.1 Fisher Effect

1.2.2 International Fisher Effect

1.3 Forward Rate as an Unbiased Predictor

1.4 Prices, Interest Rates, and Exchange Rates in Equilibrium